PAYROLL SERVICES AGREEMENT

for the provision of payroll processing services

dated ____ January 2027

BETWEEN

LEXMORE & ASSOCIATES LLP
(as the Client)

AND

PAYNEST TECHNOLOGIES PRIVATE LIMITED
(as the Service Provider)

Client Reference: LXA/ADMIN/2027/007
Fictional sample agreement prepared for training and testing purposes only.

THIS PAYROLL SERVICES AGREEMENT (this "Agreement") is made on the date set out on the cover page (the "Effective Date")

BETWEEN:

(1) LEXMORE & ASSOCIATES LLP, a limited liability partnership registered under the Limited Liability Partnership Act, 2008, having its principal office at 9th Floor, Prestige Meridian, M.G. Road, Bengaluru 560001, Karnataka, India (the "Client", which expression shall include its successors and permitted assigns); and

(2) PAYNEST TECHNOLOGIES PRIVATE LIMITED, a company incorporated under the Companies Act, 2013, having its registered office at Nest Towers, Outer Ring Road, Bellandur, Bengaluru 560103, Karnataka, India (the "Service Provider", which expression shall include its successors and permitted assigns).

The Client and the Service Provider are each referred to as a "Party" and together as the "Parties".

WHEREAS:

(A) The Client is a law firm with offices in Bengaluru, Mumbai and New Delhi and employs approximately three hundred (300) lawyers and business services staff.

(B) The Service Provider is engaged in the business of providing payroll processing and statutory compliance services from data centres owned and operated by it in India.

(C) The Client wishes to appoint the Service Provider to provide the Services on the terms and subject to the conditions of this Agreement.

NOW, THEREFORE, the Parties agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, the following expressions shall have the following meanings:

"Applicable Law" means all laws, statutes, regulations, rules and binding guidelines in force in India from time to time, including the Digital Personal Data Protection Act, 2023.

"Business Day" means a day other than a Saturday, Sunday or public holiday in Bengaluru.

"Client Personal Data" means all Personal Data of the Client's partners, employees and consultants supplied to or processed by the Service Provider in connection with this Agreement, including salary, bank account and Permanent Account Number details.

"Confidential Information" means all information of a confidential nature disclosed by or on behalf of a Party, including the terms of this Agreement, pricing, client and matter information, employee information, platform architecture and technical and security documentation.

"Fees" means the fees payable by the Client for the Services as set out in Schedule 2.

"Personal Data" has the meaning given to "personal data" under Applicable Law.

"Security Incident" means any confirmed unauthorised access to, or use, disclosure, modification or loss of, Client Personal Data.

"Services" means the payroll processing services described in Clause 3 and Schedule 1.

1.2 In this Agreement: (a) headings are for convenience only; (b) references to Clauses and Schedules are to the clauses of and schedules to this Agreement; and (c) the words "including" and "include" shall be construed without limitation.

2. APPOINTMENT AND TERM

2.1 The Client appoints the Service Provider to provide the Services with effect from the Effective Date for an initial term of two (2) years, renewable by mutual written agreement, unless terminated earlier in accordance with Clause 13.

3. SERVICES

3.1 The Service Provider shall provide the Services described in Schedule 1 with reasonable skill, care and diligence, in accordance with good industry practice and Applicable Law.

3.2 The Service Provider shall process Client Personal Data only in India and only on infrastructure owned and operated by it.

3.3 The Client shall provide complete and accurate payroll inputs no later than the twenty-second (22nd) day of each calendar month and shall approve each payroll run before disbursement.

4. FEES, INVOICING AND PAYMENT

4.1 In consideration of the Services, the Client shall pay the Fees set out in Schedule 2, together with applicable goods and services tax.

4.2 The Service Provider shall issue invoices monthly in advance, and each invoice shall be payable within forty-five (45) days of the invoice date.

4.3 The Parties shall notify each other immediately of any invoice discrepancy, and shall work together in good faith to resolve it within ten (10) Business Days. The Client shall pay any undisputed portion of an invoice in accordance with Clause 4.2.

4.4 Overdue amounts shall carry interest at the rate permitted by Applicable Law.

4.5 The Service Provider may suspend the Services on written notice if any undisputed amount remains unpaid sixty (60) days after its due date.

5. DATA PROTECTION

5.1 The Client shall act as data fiduciary and the Service Provider shall act as data processor in respect of Client Personal Data.

5.2 The Service Provider shall process Client Personal Data only on the documented instructions of the Client and in accordance with Applicable Law.

5.3 The Service Provider shall implement appropriate technical and organisational measures to protect Client Personal Data, including encryption at rest and in transit and role-based access controls, and shall maintain certification to ISO/IEC 27001.

6. SECURITY INCIDENTS

6.1 The Service Provider shall notify the Client without undue delay and in any event within

twenty-four (24) hours of confirming a Security Incident affecting Client Personal Data.

6.2 The Service Provider shall provide the Client with a written incident report within seventy-two (72) hours of confirming the Security Incident, describing the nature of the incident, the categories of Personal Data and data principals affected, and the remedial measures taken.

7. CONFIDENTIALITY

7.1 Each Party shall keep the other Party's Confidential Information confidential, shall use it only for the purposes of this Agreement, and shall not disclose it to any third party except to its partners, employees and professional advisers who need to know it and are bound by equivalent obligations of confidentiality.

7.2 The obligations in Clause 7.1 shall not apply to information which is or becomes public other than through a breach of this Agreement, is independently developed by the receiving Party, is lawfully received from a third party without restriction, or is required to be disclosed by law or by order of a competent court.

7.3 The Client acknowledges that the Service Provider's pricing, platform architecture and security documentation are the Service Provider's Confidential Information.

7.4 The obligations in this Clause 7 shall survive for three (3) years after termination or expiry of this Agreement.

8. INTELLECTUAL PROPERTY

8.1 All intellectual property rights in the Service Provider's platform and materials shall remain vested in the Service Provider. All rights in Client Personal Data shall remain vested in the Client.

9. WARRANTIES

9.1 Each Party warrants that it has full power and authority to enter into and perform this Agreement.

10. INDEMNIFICATION

10.1 Each Party (the "Indemnifying Party") shall indemnify the other Party against losses arising from third-party claims to the extent caused by the Indemnifying Party's proven breach of this Agreement, negligence or wilful misconduct, subject to Clause 11.

10.2 The indemnified Party shall give prompt notice of any claim, allow the Indemnifying Party to control its defence, provide reasonable co-operation, and take reasonable steps to mitigate its losses.

11. LIMITATION OF LIABILITY

11.1 Each Party's aggregate liability arising out of or in connection with this Agreement shall not exceed the Fees paid or payable in the twelve (12) months preceding the event giving rise to the claim.

11.2 Neither Party shall be liable for any indirect, special or consequential loss, or for any loss of profit, revenue, goodwill or anticipated savings.

11.3 Nothing in this Agreement limits either Party's liability for fraud, wilful misconduct, or death or personal injury caused by negligence.

12. INSURANCE

12.1 The Service Provider shall maintain professional indemnity insurance of not less than INR 5,00,00,000 (Rupees Five Crores) for each claim.

13. TERM AND TERMINATION

13.1 The Client may terminate this Agreement for convenience on not less than ninety (90) days' written notice.

13.2 Either Party may terminate this Agreement for material breach by the other Party which is not remedied within thirty (30) days of written notice.

13.3 Fees for Services performed before the effective date of termination shall not be refunded.

13.4 The Service Provider may terminate this Agreement on written notice if the Client persistently fails to pay undisputed Fees when due.

14. RETURN AND DELETION OF CLIENT PERSONAL DATA

14.1 On termination or expiry, the Service Provider shall return Client Personal Data in a standard, machine-readable format and delete it from its production systems within thirty (30) days, with backup copies purged in the next scheduled backup rotation.

14.2 On written request, the Service Provider shall provide a certificate of deletion. Statutory records may be retained for the period required by Applicable Law.

15. GOVERNING LAW AND JURISDICTION

15.1 This Agreement shall be governed by the laws of India, and the courts at Bengaluru shall have exclusive jurisdiction over any dispute arising out of or in connection with it.

16. GENERAL

16.1 Notices. Notices shall be in writing and delivered by hand, by registered post or by email to the addresses set out above.

16.2 Assignment. Neither Party may assign this Agreement without the prior written consent of the other Party, such consent not to be unreasonably withheld.

16.3 Entire Agreement. This Agreement constitutes the entire agreement between the Parties relating to its subject matter.

16.4 Force Majeure. Neither Party shall be liable for any delay or failure caused by events beyond its reasonable control, provided it notifies the other Party promptly.

IN WITNESS WHEREOF the Parties have caused this Agreement to be executed by their duly authorised representatives on the date set out on the cover page.

For and on behalf of

LEXMORE & ASSOCIATES LLP

Signature: _____

Name: _____

Designation: Designated Partner

Date: _____

For and on behalf of

PAYNEST TECHNOLOGIES PRIVATE LIMITED

Signature: _____

Name: _____

Designation: General Counsel

Date: _____

SCHEDULE 1 - DESCRIPTION OF SERVICES

(a) Monthly payroll computation for all partners on retainer, employees and consultants of the Client, including fixed pay, bonuses, reimbursements and full and final settlements.

(b) Computation and deduction of tax deducted at source, issuance of Form 16 and preparation of quarterly returns in Form 24Q.

(c) Preparation of provident fund and professional tax filings for submission by the Client.

(d) Employee self-service access to payslips and tax declarations.

(e) A named payroll specialist available on Business Days from 9:30 a.m. to 6:30 p.m.

SCHEDULE 2 - FEES

(a) Onboarding fee: a one-time fee of INR 75,000 (Rupees Seventy-Five Thousand).

(b) Monthly fee: INR 110 (Rupees One Hundred and Ten) per person processed, subject to a minimum monthly fee of INR 30,000 (Rupees Thirty Thousand).

All Fees are exclusive of goods and services tax.